

A Level Playing Ground

Some of the policies introduced by SEBI were now beginning to bite. In 2008, it had approved a facility called direct market access (DMA) for institutional investors. Under this system, clients could access the stock exchange's trading system through their brokers' infrastructure, but without manual intervention by the brokers. Earlier, a fund manager based out of Singapore or London wanting to trade in Indian shares would have to call the broker in India to place his order. Somebody like me who was thick with dealers at institutional brokerages would often get to know of some of the large-sized orders before they were executed, and front-run them. With the introduction of DMA, global fund managers could route their orders electronically into their broker's trading systems, and the orders would then find their way into the exchange's trading engine. The broker would get to know of the orders only after they were executed.

The advent of DMA simultaneously fuelled the growth of algorithmic trading, or programmed trading as it was commonly known in market parlance. In algo trading, a software would execute trades based on pre-assigned commands. At a basic level, the command could be to sell the futures of a stock and simultaneously buy an equivalent quantity in the cash market if the futures were quoting at a particular premium to the spot price. Conversely, it could be to sell spot and buy futures if the futures were quoting at a discount. Complex commands could interlink trading volumes, index levels and a host of other parameters to trigger a trade. DMA and algo trading went hand in hand, as the software would now take over the functions of a dealer. Earlier, if a fund manager placed an order with a